Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY and KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Rebuttal Testimony

of

The Rate Design Panel

Case 23-G-0225
Case 23-G-0226

Date: September 22, 2023

Rebuttal Testimony of the Rate Design Panel

TABLE OF CONTENTS

I. Introduction 1

II. Revenue Forecast 2

III. ECOS Studies 4

IV. Revenue Allocation 5

V. Rate Design 7

VI. Non-Firm Demand Response Gas Cost Reconciliation 11

VII. Firm Demand Response ("DR") Programs 13

VIII. Energy Affordability Programs ("EAP") 15

IX. Late Payment Charge ("LPC") Revenue Reconciliation 17

X. Rate Adjustment Mechanism ("RAM") 19

XI. Miscellaneous Rate Design Issues 22

A. Gas Tariff Provisions 22
B. NYC Block Usage Proposal 23

I. Introduction

Q. Please identify the members of the Rate Design Panel.

A. The Rate Design Panel consists of Kellie I. Smith, Dawn M. Herrity, Melissa M. Barnes and Howard S. Gorman.

Q. Is this the same Panel that previously submitted direct testimony and corrections and updates testimony in these proceedings?

A. Yes. This is the same Panel that submitted direct and corrections and updates testimony in these proceedings. The terms defined in the Panel's previous testimonies have the same definitions here.

Q. What is the purpose of your rebuttal testimony?

A. The Panel's rebuttal testimony addresses and/or rebuts issues raised with respect to either KEDNY or KEDLI, or both Companies, by Department of Public Service Staff ("Staff") and other intervenors in their respective testimonies filed in these proceedings on September 1, 2023. Specifically, the Panel responds to certain recommendations set forth in the testimony of the Staff Gas Rates Panel ("SGRP"), Staff Policy Panel ("SPP"), Staff Consumer Services Panel ("SCSP"), and Staff Revenue Requirements Panel ("SRRP"), as well as recommendations in the testimony of New York City ("NYC") witness Michele Chait, Department of State Utility Intervention Unit ("UIU")

witness Danielle Panko, Public Utility Law Project ("PULP") witness William Yates, and NRG Energy, Inc. ("NRG") witness Christopher Reyes.

Q. Is the Panel offering any exhibits?

A. Yes. The Panel prepared the following exhibit that was prepared by or under the supervision and direction of one or all members of the Panel:

- Exhibit __ (RDP-1R) Staff Information Request ("IR") Response

Q. How is the rebuttal testimony organized?

A. The testimony proceeds by topic, rather than by party, to keep the positions of the parties on each issue together.

II. Revenue Forecast

Q. Does the Panel have any comments concerning the SGRP's Rate Year revenue forecast at current rates?

A. Yes. The Panel agrees with the SGRP's recommendation (at 8) to remove the Net Utility Plant ("NUP") surcharge revenues (KEDNY and KEDLI) and the Demand Capacity Surcharge Mechanism ("DCSM") revenues (KEDLI only) from the Rate Year revenue forecast. The removal of these revenues results in a presentation change to the Companies' incremental revenue requirement, as shown in Exhibit __ (RRP-1CU), but it does not impact the calculation of the

Companies' total revenue requirements. In addition, the Panel agrees with the inclusion of the $2.5 million Rate Adjustment Clause ("RAC") revenues in accordance with the Companies' responses to IR Nos. DPS-778 and DPS-779, as included in Exhibit __ (SGRP-1).

The Panel does not agree with the SGRP's Rate Year revenue forecast of Merchant Function Charge ("MFC") revenues, as shown in Exhibit __ (SGRP-2), Schedules 1 and 2. The SGRP calculated the MFC revenues at proposed rates as opposed to current rates in the revenue forecasts. Per the SGRP's response to IR No. NG-25, included in Exhibit __ (RDP-1R), the SGRP agreed that MFC revenues at current rates should have been included in its revenue forecast, rather than MFC revenues at proposed rates. In addition, the SGRP did not calculate the applicable Late Payment Charges ("LPC") and taxes (*i.e.*, Gross Receipts Tax ("GRT") and Metropolitan Transportation Authority ("MTA")) on the inclusion of the $2.5 million of RAC revenues. Per the SGRP's response to IR No. NG-25, the SGRP agreed that both LPC and applicable taxes should be calculated on the inclusion of the $2.5 million of RAC revenue. Finally, as discussed in the rebuttal testimony of the Companies' Gas Load Forecasting Panel, the Companies do not agree with the Rate Year sales forecast proposed by the Staff Forecasting and Inflation Panel that was used to develop Staff's Rate Year revenue forecast at current rates.

For these reasons, the Companies recommend the use of the Rate Year revenue forecast set forth in the Companies' corrections and updates testimony, updated to remove revenues from the NUP and, for KEDLI only, the DCSM.

III. ECOS Studies

Q. Did Staff or any of the intervenors comment on the Companies' Embedded Cost of Service ("ECOS") studies?

A. Yes. The SGRP (at 7) supported using the ECOS studies that the Companies presented in their corrections and updates testimony as the basis for revenue allocation. NYC Witness Chait (at 4) found the ECOS studies to be reasonable and recommended that the ECOS studies be accepted by the Commission. No party raised any objection to the Companies' ECOS methodology.

Q. Did any of the intervenors make any additional recommendations regarding ECOS studies?

A. NYC Witness Chait (at 11) supported the Minimum System methodology and its use in the ECOS, but claimed that the averaging of results was sub-optimal and supported using only current data. The Companies disagree with NYC's recommendation and believe that using the average results of several studies

broadens the period of data used in the ECOS and promotes stability in revenue allocation, and, therefore, is preferable to using the results of a single study for costs incurred over decades and rates that may be in place for years.

IV. Revenue Allocation

Q. Please explain the Companies' revenue allocation process.

A. The Companies' revenue allocation proposals move the returns produced by each service class closer to the system average rate of return while mitigating extreme impacts. For both Companies, a tolerance band of 40 percent was used to determine which service classifications had a rate of return at present rates close to the overall rate of return at present rates. Classes with returns within the tolerance bands were given approximately the average increase. Classes with returns above the tolerance band were given smaller percentage increases than average, and classes with returns below the tolerance were given larger increases.

Q. Did Staff or any of the intervenors comment on the Companies' proposed revenue allocation?

A. Yes. The SGRP (at 31-34 and Exhibit __ (SGRP-3)) supported the Companies' approach, with minor adjustments. The SGRP applied its revenue allocation methodology to Staff's proposed revenue requirements,

which are lower than those proposed by the Companies, so a direct comparison of the revenue allocation results is not possible.

NYC Witness Chait (at 18-19) does not oppose the Companies' proposed tolerance bands (identifying the service classes producing close-to-average returns) or the Companies' proposed manual adjustments (the percentage increases for each service class). Ms. Chait also proposed that if the final revenue requirements are lower than the Companies have requested, the service classes with returns above the tolerance band should receive a material share of the reduction. If final revenue requirements adopted in these proceedings are lower than the Companies have requested, the Companies will consider a revenue allocation that reflects the Companies' approach as well as the comments made by Staff and NYC.

UIU Witness Panko (at 5) recommends that, if the Commission adopts the Companies' proposed increases, then all firm service classes should receive a uniform percentage increase. Ms. Panko also proposes that, if the Commission approves significantly lower overall increases, a different approach may be warranted. Further, Ms. Panko asserts that, if a multi-year plan is implemented, then revenue allocation should be based on the ECOS

submitted by the Companies based on classifying Mains as 100 percent demand-related.

The Companies disagree with Ms. Panko's recommended uniform increase. The Companies believe that revenue allocation should reflect the ECOS results (and not an across-the-board percentage) regardless of the final revenue requirement and overall increase adopted in these proceedings. Also, the Companies believe that the appropriate classification of Mains is both customer- and demand-related. Therefore, the ECOS that classifies Mains as 100 percent demand-related should not be used for revenue allocation. The Companies have previously agreed to submit ECOS studies that classify Mains as 100 percent demand-related for informational purposes only.

V. Rate Design

Q. Please briefly describe the Companies' approach to rate design.

A. The purposes of rate design are: (i) to collect the revenue target established for each service class in the revenue allocation process; (ii) to avoid severely disproportionate impacts on customer subgroups within a class; and (iii) to provide signals to customers to reflect the effects of their usage on the overall system, including supporting conservation.

In some cases, the fixed monthly charges are increased to move closer to the customer-related costs. For some service classes with block rates, the proposed rates reduce the slope (*i.e.*, the ratio of mid-block rate to tail-block) compared to the present rate design. A lower slope supports conservation by making the tail-block rate higher than it would be if all volumetric rates within a service class were increased by the same percentage.

Q. Did Staff or any of the intervenors comment on the proposed monthly fixed charges?

A. Yes. The SGRP (at 42) supports the fixed monthly charges proposed by the Companies because the rates are supported by the Companies' ECOS.

UIU Witness Panko (at 6) generally accepts the Companies' rate design proposals at the requested revenue requirements, but proposes that if lower revenue requirements are approved, the Commission should consider reducing fixed monthly charges. PULP Witness Yates (at 17) does not support higher fixed monthly charges for residential customers. Mr. Yates suggests the Companies explore rate designs that freeze the fixed monthly charges and reward conservation, but he did not identify rate designs that would do so. The Companies disagree with any reduction in the Companies' proposed fixed monthly charges. The ECOS studies submitted in these proceedings support

fixed monthly charges of at least the amounts proposed by the Companies, and, therefore, do not support any reduction to or freezing of the fixed monthly charges.

Q. Did Staff or any of the intervenors comment on the Companies' proposal to flatten declining block rates?

A. Yes. The SGRP (at 40-42) stated that it supports the concept of eliminating declining block rates, which furthers CLCPA goals. However, the SGRP does not support any movement toward flattening declining block rates in these proceedings due to concerns over rate impacts. The SGRP believes that, due to the size of the requested increases in these proceedings, movement toward flat rates would exacerbate the increases to high-use customers.

The Companies disagree with the SGRP's recommendation. The Companies believe their proposal to give relatively higher increases to the tail-blocks is appropriate because it achieves exactly what is intended (*i.e.*, encouraging conservation by the customers who use the most gas). The Companies believe that deferring efforts to flatten declining block rates will only make efforts to achieve the CLCPA goals more difficult and costly in future years as the CLCPA deadlines draw nearer.

UIU Witness Panko (at 29) generally accepts the Companies' rate design proposals at the requested revenue requirements, but proposes that if lower revenue requirements are approved, the Commission should consider further movement toward the elimination of declining block rates. The Companies will consider this suggestion.

Q. Did Staff or any of the intervenors comment on the Companies' proposals for Non-Firm Demand Response ("NFDR") revenue allocation and rates?

A. Yes. The SGRP (at 42-45) supports the Companies' proposals to increase the NFDR discounts to 55 percent (Tier 1) and 65 percent (Tier 2) from the tail-blocks of SC2 and SC3. It should be noted that primarily due to SGRP's proposal to increase each volumetric block within a service class by the same percentage (compared to the Companies' proposals that give higher increases to tail-blocks), Staff's overall revenue increases for NFDR classes are notably lower than the Companies' overall revenue increases for the same service classes.

NYC Witness Chait (at 4) also supports the Companies' proposal to increase the NFDR discounts to 55 percent and 65 percent.

Q. Do the Companies agree with NYC Witness Chait's recommendation (at 26) to increase the NFDR customer charge to maintain the volumetric charge discount to firm tail blocks?

A. No. While the Companies appreciate Ms. Chait's acknowledgment that the high percentage discounts for the volumetric charge are needed to encourage NFDR customers to remain on that service, increasing the customer charge would have a negative effect on smaller customers when comparing to the otherwise applicable firm service classes. Firm service classes have a considerably smaller customer charge than the NFDR service class. For example, the current firm customer charge for KEDNY non-residential heating customers is $37.55 per month compared to $375 per month for NFDR customers. Raising the customer charge further could incentivize smaller NFDR customers to migrate to firm service.

VI. Non-Firm Demand Response Gas Cost Reconciliation

Q. Did Staff or any of the intervenors comment on the Companies' proposals to include NFDR customers in annual Gas Adjustment Clause ("GAC") reconciliations?

A. Yes. The SGRP (at 54-58) and NYC Witness Chait (at 27- 31) commented on the proposals to include NFDR customers in the annual GAC reconciliations.

Q. Did Staff and NYC support the Companies' proposal to include NFDR customers in annual GAC reconciliations?

A. The SGRP (at 58) supports the Companies' proposal to include NFDR customers in its annual GAC reconciliation and to make corresponding changes to the System Performance Adjustment ("SPA") reconciliation.

NYC Witness Chait (at 31), however, does not support the Companies' proposal. Ms. Chait states that the Companies' NFDR proposal would result in an over allocation of LAUF cost to NFDR customers. Ms. Chait recommends that the Companies do not implement a single volumetric rate but instead develop separate GAC and SPA reconciliation mechanisms for NFDR customers.

Q. Did the Companies explain in direct testimony why they cannot implement a separate reconciliation for NFDR customers?

A. Yes. In Sections XVI (KEDNY) and XV (KEDLI) of the Panel's direct testimonies, each Company states that it has a combined firm and non-firm gas supply portfolio (KEDNY and KEDLI) and cannot separately reconcile NFDR customers' gas supply costs. In addition, Ms. Chait has not proposed a methodology to effectuate her proposal to separately reconcile gas costs for NFDR.

VII. Firm Demand Response ("DR") Programs

Q. Do the Companies agree with NRG Witness Reyes' proposal (at 3-4) that National Grid's tariffs should be amended to include a separate rate class for customers participating in its Firm DR Programs and to require such customers to specify the volumetric level at which they have selected to participate?

A. No, the Companies do not agree with NRG Witness Reyes' recommendation that the Companies create a separate rate class for firm demand response customers. Customers participating in the Companies' Firm DR Programs are currently served under various service classes, including commercial/industrial and multi-family service classes. Therefore, a new service class would need to be developed for each existing service class that serves participants in the Companies' Firm DR Programs. Creating and transferring customers to a new rate class is a significant administrative burden and causes customer confusion. In addition, NRG and other Energy Service Companies ("ESCOs") have the ability to approach their customers to inquire whether they are enrolled in, or intend to enroll in, the Firm DR Programs; therefore, there is no need to create an entirely new rate class to accomplish that goal. Further, one of the reasons firm customers choose to enroll in the Firm DR Programs is because it does not involve a new rate and

provides consistency in incentive levels; therefore, establishing a separate rate would likely lead to slower growth and possible defections from the programs.

Q. Does NRG Witness Reyes explain why a separate rate class is needed?

A. Mr. Reyes states that a new rate class would enable NRG and other ESCOs to immediately identify existing customers who are participating in the program and to determine the volumetric level at which they have selected to participate. ESCOs would also be able to tell when additional customers switch to the program, as their rate class would change. That would enable ESCOs to better estimate usage and discuss appropriate changes with the customer.

Q. Do the Companies agree?

A. No. Gas demand response events are infrequent, short in duration, and involve so few customers that the impact to monthly delivered gas volumes within an ESCO supplier pool is not significant. Volumetric reductions from energy efficiency programs have greater impacts on monthly gas volumes but do not require separate rates or utility notifications to ESCOs.

Q. Are you aware of any New York State electric utilities that serve demand response programs under a separate rate class?

A. No. Separate rate classes do not exist for customers enrolled in the electric demand response programs of any New York State electric utilities.

VIII. Energy Affordability Programs ("EAP")

Q. Do the Companies agree with PULP Witness Yates's comparison (at 24-25) of proposed Rate Year EAP discounts to actual EAP discounts expended in 2021?

A. No. Mr. Yates only includes the base EAP discount amounts that were included in the Companies' revenue requirement. As explained in the Panels' direct testimonies, there are incremental EAP discount amounts related to the incremental revenue requirement that are proposed to be included in rate design. These incremental amounts were also updated in the Companies' corrections and update testimony. Therefore, the Rate Year EAP discounts cited by PULP Witness Yates are understated and his comparison to 2021 discounts is incorrect. Below are the program budgets contained in the Companies' corrections and updates testimony.

Table 1: EAP Budgets

Company	Revenue Requirement EAP	Incremental EAP Rate Design	Total EAP Budget
KEDNY	$46.9M	$29.2M	$76.1M
KEDLI	$8.8M	$4.5M	$13.3M

Q. Were there any other parties who did not recognize the full EAP budgets proposed by the Rate Design Panel?

A. Yes. The SCSP (at 21) only acknowledged the portion of the proposed EAP budgets that are in the Companies' revenue requirement.

Q. Please describe PULP Witness Yates' proposal (at 19) regarding EAP budgets.

A. Mr. Yates proposes that, in the event projected EAP budgets in these proceedings exceed the Commission's cap of two percent of total gas revenues for sales to end-use customers, any discount reductions that may be necessary first be applied by monthly testing the degree to which each EAP participant would experience net negative actual charges for the past 12 months when receiving a current month discount, and then setting that current month discount at the maximum amount that does not cause net credits for the 12 month period, up to the full amount of the discount.

Q. Do the Companies agree with Mr. Yates' proposal?

A. No. The Companies believe that any modifications to the EAP, especially something as complex as proposed by PULP Witness Yates, should be addressed within the EAP Working Group, which was specifically created to address the EAP program and its structure through collaboration among interested stakeholders.

IX. Late Payment Charge ("LPC") Revenue Reconciliation

Q. Did Staff or any intervenors comment on the Companies' proposed LPC Revenue Reconciliation?

A. Yes. The SRRP discusses (at 82-83) the Companies' proposed LPC Revenue Reconciliation mechanism. The SRRP recommends that the Commission reject the Companies' proposal for this reconciliation mechanism because they do not agree that a reconciliation for LPC revenues is appropriate in the context of a one-year rate proceeding. NYC Witness Chait also testified (at 33) that the Companies have not provided sufficient evidence demonstrating why a reconciliation mechanism for LPCs is necessary and suggest that the Companies have not attempted to provide any evidence that demonstrates why available data cannot be used to provide a reasonable forecast of LPC revenues.

Q. Please comment on Staff and NYC's opposition to the LPC Revenue Reconciliation.

A. The Companies believe that a reconciliation of LPC revenue is appropriate even in the context of a one-year rate case. The Panel's direct testimonies explain that there is uncertainty as to whether the Historic Test Year ("HTY") ratio used to develop LPC revenue is an accurate indicator of future LPC revenue. This uncertainty is due to the fact that, when LPCs resumed in January 2022 after being suspended during COVID-19, many customers still had large arrears balances on which LPCs were accruing during the HTY (*i.e.*, Calendar Year 2022). The large arrears balances likely resulted in an anomalous level of LPC revenue during that period of time.

The table below shows the historic trend of LPC revenues and calculated LPC ratios. KEDLI's trend of historic LPC ratios are comparable to the HTY LPC ratio, which is deemed reasonable for forecasting Rate Year LPC revenues. However, KEDNY's trend of historic LPC ratios shows the uncertainty of using the HTY LPC ratio to forecast LPC revenues for the Rate Year.

Table 2 – Historic LPC Revenues

	($000's)						
KEDNY	CY2016	CY2017	CY2018	CY2019	CY2020	CY2021	CY2022
Revenue	$1,234,701	$1,504,675	$1,700,349	$1,752,486	$1,650,770	$1,756,619	$2,068,451
LPC $	$9,577	$10,191	$11,698	$13,068	$3,298	-$102	$22,349
LPC Ratio	0.7757%	0.6773%	0.6880%	0.7457%	0.1998%	-0.0058%	1.0805%

	($000's)						
KEDLI	CY2016	CY2017	CY2018	CY2019	CY2020	CY2021	CY2022
Revenue	$855,308	$1,000,104	$1,157,810	$1,148,786	$1,053,557	$1,181,394	$1,386,796
LPC $	$4,476	$4,872	$5,057	$5,522	$1,085	-$1	$6,440
LPC Ratio	0.5233%	0.4871%	0.4367%	0.4807%	0.1030%	-0.0001%	0.4644%

It should also be noted that the Companies proposed a two-way reconciliation mechanism for LPC revenues, which protects both customers and the Companies from uncertainty regarding LPC revenues.

X. Rate Adjustment Mechanism ("RAM")

Q. Did Staff comment on the Companies' proposed RAM?

A. Yes. The SPP discusses (at 18-21) the Companies' proposed RAM mechanism. The SPP does not agree that implementing a RAM in the context of a one-year rate proceeding is appropriate. The SPP also claims that the Companies' proposal does not include necessary details such as the identification of other already approved reconciliation items that could be included.

Q. Please comment on Staff's opposition to the RAM.

A. The Companies believe the RAM is appropriate even in the context of a one-year rate case, as there can be significant differences between actual and forecast costs or revenue. Regarding the comment that the Companies'

proposal does not include certain details of other already-approved reconciliations, the Companies agree that only the reconciliations identified in the Panel's direct testimonies (KEDNY RDP at 64; KEDLI RDP at 63) should be considered for inclusion in the RAM in this case with one exception. The Companies' Gas Safety Panel's rebuttal testimony identifies potential incremental costs related to PHMSA's recent notice of proposed rulemaking regarding leak detection and repair. Because of the potential magnitude of these costs as well as uncertainty around their timing, the Companies submit that any such costs should also be included in the RAM.

Q. Did any intervenors comment on the Companies' proposed RAM?

A. Yes. NYC Witness Chait (at 31-37) does not support the proposed RAM. However, if the RAM is implemented, Ms. Chait would support a cap that is based on a dollar value that is commensurate with balances permitted to be collected, but those values are not currently known. Ms. Chait also does not support the inclusion of commodity-related revenues in the threshold basis. Lastly, Ms. Chait disagrees with the inclusion of incremental energy efficiency costs and EAP Reconciliation amounts in the RAM.

Q. Please comment on NYC Witness Chait's proposal regarding the RAM.

A. As discussed above, the Companies believe that the RAM should be considered regardless of whether the parties are able to reach a multi-year settlement in these proceedings. This mechanism would allow the Companies to recover costs from or pass back credits to customers on a timely basis. The RAM would consolidate multiple deferral balances into one single surcharge for certain items that are currently deferred and for new deferral mechanisms proposed in this case. By resolving certain deferral amounts (including incremental energy efficiency costs and EAP Reconciliations) on a timely basis, the Companies will avoid the accumulation of large credit or debit imbalances (including carrying charges) that would need to be addressed in future rate proceedings. Regarding the proposal to revise the cap on the RAM surcharge or surcredit, the Companies believe a cap of 2.5 percent of prior year aggregate revenues including commodity represents a reasonable limitation that mitigates significant bill impacts for customers while managing deferral balances by not allowing them to potentially grow year over year.

XI. Miscellaneous Rate Design Issues

A. Gas Tariff Provisions

Q. Did Staff propose any changes to the Companies' tariffs?

A. Yes. The SGRP (at 66) recommend the implementation of a new renewable natural gas ("RNG") Interconnection Surcharge to recover the carrying costs of RNG interconnection capital projects. Additionally, the SGRP (at 53) disagrees with the Companies' proposal to modify the existing Gas Safety and Reliability Surcharge ("GSRS"), to allow for the recovery of a leak-prone pipe ("LPP") unit cost incentive.

Q. Do the Companies agree with these recommendations?

A. No. These two issues are addressed in further detail in the rebuttal testimony of the Companies' Gas Infrastructure and Operations Panel ("GIOP"). First, the GIOP does not agree that recovery of the revenue requirement for the Companies' RNG Interconnection Projects should be accomplished through a surcharge mechanism if the projects are built and placed into service during the Rate Year. In addition, the GIOP explains that the LPP unit cost productivity incentive is an appropriate mechanism that encourages better cost management for the proactive LPP retirement program, assuming the targets are set appropriately based on current unit costs.

Q. Did Staff propose any other tariff modifications?

A. Yes, the Staff Consumer Services Panel (at 100-101) recommends revising the Companies' tariffs to include language specifying when a customer must receive a bill for services rendered.

Q. What is the Companies' response to Staff's recommendation?

A. As set forth in the rebuttal testimony of the Customer Panel, the Companies are unaware of specific concerns regarding the regularity of monthly bills. Nevertheless, the Companies are open to working with Staff to better understand the issue and potential cost-effective solutions.

B. NYC Block Usage Proposal

Q. Please summarize NYC Witness Chait's position regarding the Companies' use of a historic three-year average of actual block usage to allocate the sales forecast into the various blocks by service class?

A. NYC Witness Chait recommends (at 25) that the Companies employ block consumption shares from the historical year that most closely matches FY 2025 usage per customer to allocate sales. Ms. Chait states (at 23) that using a three-year historical average block allocation method, as proposed by the Companies, results in higher tail block rates and lower rates for the remaining blocks than if the block usage allocations were closer to the FY 2025 values.

Q. Does the Panel agree with NYC Witness Chait's recommendation?

A. No. The Panel disagrees with Ms. Chait's argument that the Companies' three-year historical average block allocation method results in higher tail block rates and lower rates for the remaining blocks. Ms. Chait's correlation between usage per customer (annual therms divided by number of customers) and usage per block incorrectly assumes that all customers within a service classification use the same annual therms.

The Panel maintains that the historic three-year average of billed block usage is a reasonable methodology to allocate the Companies' sales forecast by block and to develop the Companies' revenue forecast and rate design. In addition, any block usage variances created by applying a three-year average of billed block usage to allocate the Companies' sales forecast are *de minimis* and do not materially affect the Companies' revenue forecast or rate design. Table 3, below, illustrates that the usage variance between the Rate Year sales forecast and the three-year historic average is less than one percent for all KEDNY service class usage blocks and for all KEDLI service class usage blocks, except for one.

Table 3 – Usage Variance Comparison for KEDNY and KEDLI

KEDNY					
	Rate Year 2025 Forecast Sales	3-Year Average Billed Sales	Rate Year 2025 Block %	3-Year Average Block %	Variance %
SC1A/AR					
Block 1	1,376,487	1,139,594	25.4%	25.2%	0.2%
Block 2	2,301,754	1,912,444	42.5%	42.4%	0.1%
Block 3	1,743,395	1,463,711	32.2%	32.4%	-0.3%
	5,421,637	4,515,749			
SC1B/BR					
Block 1	2,444,631	1,889,219	3.2%	3.1%	0.1%
Block 2	27,536,181	21,443,028	36.4%	35.6%	0.8%
Block 3	45,628,110	36,920,352	60.3%	61.3%	-0.9%
	75,608,923	60,252,599			
SC2-1					
Block 1	58,284	39,089	0.5%	0.5%	0.0%
Block 2	1,335,210	898,198	10.8%	10.6%	0.2%
Block 3	7,993,965	5,457,097	64.6%	64.3%	0.3%
Block 4	2,978,486	2,092,005	24.1%	24.7%	-0.6%
	12,365,946	8,486,389			
SC2-2					
Block 1	110,729	88,186	0.7%	0.6%	0.0%
Block 2	2,003,890	1,639,887	11.8%	11.4%	0.4%
Block 3	8,960,565	7,604,575	52.7%	52.9%	-0.2%
Block 4	5,923,603	5,031,544	34.8%	35.0%	-0.2%
	16,998,787	14,364,191			
SC3					
Block 1	79,680	56,803	0.2%	0.2%	0.0%
Block 2	13,281,851	9,579,141	34.3%	33.6%	0.7%
Block 3	25,368,508	18,897,648	65.5%	66.2%	-0.7%
	38,730,039	28,533,592			

KEDLI					
	Rate Year 2025 Forecast Sales	3-Year Average Billed Sales	Rate Year 2025 Block %	3-Year Average Block %	Variance %
SC1A/AR					
Block 1	207,063	195,025	14.0%	13.5%	0.5%
Block 2	852,174	821,070	57.7%	56.9%	0.8%
Block 3	417,793	427,678	28.3%	29.6%	-1.3%
	1,477,030	1,443,773			
SC1B/BR					
Block 1	1,843,772	1,404,024	3.0%	3.0%	0.1%
Block 2	21,483,083	16,477,219	35.5%	35.1%	0.3%
Block 3	37,215,597	29,001,945	61.5%	61.9%	-0.4%
	60,542,452	46,883,188			
SC2A					
Block 1	36,039	27,967	0.3%	0.3%	0.0%
Block 2	836,491	651,508	7.9%	7.9%	0.1%
Block 3	5,981,430	4,675,819	56.8%	56.6%	0.2%
Block 4	3,678,205	2,906,022	34.9%	35.2%	-0.3%
	10,532,165	8,261,316			
SC2B					
Block 1	133,536	103,636	0.5%	0.5%	0.0%
Block 2	2,902,421	2,253,489	11.5%	11.4%	0.1%
Block 3	14,777,247	11,545,745	58.4%	58.3%	0.1%
Block 4	7,506,995	5,910,249	29.6%	29.8%	-0.2%
	25,320,197	19,813,118			
SC3					
Block 1	6,754	5,152	0.1%	0.1%	0.0%
Block 2	1,485,780	1,141,301	28.0%	27.7%	0.3%
Block 3	3,818,228	2,977,114	71.9%	72.2%	-0.3%
	5,310,762	4,123,567			

Q. Does this conclude your testimony?

A. Yes, it does.

List of Exhibits

Exhibit __ (RDP-1R)	Staff Information Request Response

Exhibit __ (RDP-1R)

Staff Information Request Response

STAFF OF THE DEPARTMENT OF PUBLIC SERVICE
RESPONSE TO INTERROGATORY/DOCUMENT REQUEST

The Brooklyn Union Gas Company d/b/a National Grid NY
KeySpan Gas East Corporation d/b/a National Grid
Cases 23-G-0225 & 23-G-0226
Gas Rates

Request No.:	NG-25
Requested By	KEDNY/KEDLI Rate Design Panel
Information Requested of:	Staff Gas Rates Panel
Date of Request:	September 5, 2023
Response Due Date:	September 15, 2023
Date of Response:	September 15, 2023
Name & Position of Respondent:	Staff Gas Rates Panel
Subject:	Revenues

Request:

1. In Exhibit __ (SGRP-2), Schedules 1 and 2 for KEDNY and KEDLI, respectively, the Staff Gas Rates Panel included $2.5 million of revenues for the Rate Adjustment Clause ("RAC") as agreed upon in the Companies' responses to DPS-778 and DPS-779. Does the Panel agree that Late Payment Charges ("LPC") and applicable taxes (GRT and MTA) should be updated to reflect the change in revenue associated with the RAC?

2. Does Staff agree that the revenue forecast at current rates should be updated to reflect the Merchant Function Charge ("MFC") at current rates as opposed to proposed rates as filed in Exhibit __ (SGRP-2), Schedule 1 and 2? If so, please provide the calculation of the MFC at current rates based on the sales forecast as filed by the Staff Forecasting and Inflation Panel.

Response:

1. If the Companies' respective revenue forecast at current rates erroneously omitted the GRT, MTA and/or LPC revenues associated with the $2.5M of revenues from the RAC, then the revenue forecasts should be updated to include these costs.
2. Yes, however the revenue requirement increases should be adjusted to reflect the change in MFC revenues based on the proposed Rate Year MFC target for each Company. See DPS Response to NG-25, Attachment 1 and Attachment 2 for the calculation of MFC revenues at current rates for KEDNY and KEDLI respectively based on the forecast provided by the Staff Forecasting and Inflation Panel.

Name of Respondent:
Staff Gas Rates Panel

Date of Reply:
September 15, 2023